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EXPLANATORY NOTE



PZ Cussons Nigeria Plc

RC 693

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EXPLANATORY NOTE TO SHAREHOLDERS OF PZ CUSSONS NIGERIA PLC ON THE PROPOSED SCRIP DIVIDEND ARRANGEMENT AND RELATED RESOLUTIONS TO BE CONSIDERED AT THE 78TH ANNUAL GENERAL MEETING HOLDING ON 28 OCTOBER 2026

This Explanatory Note has been prepared to provide shareholders of PZ Cussons Nigeria Plc (“PZ Cussons” or “the Company”) with information on the proposed option to receive new ordinary shares in the Company instead of all or part of the net cash entitlement arising from the proposed final dividend of ₦2.50 (Two Naira, Fifty Kobo) per ordinary share for the financial year ended 31st May 2026 (“FY26 Final Dividend”) (“Scrip Dividend Arrangement”).

The note also details the actions required for participation in the Scrip Dividend Arrangement.

This Scrip Dividend Arrangement is voluntary. A Qualifying Shareholder who does not make a valid election by the Election Deadline will receive the FY26 Final Dividend in cash, subject to applicable withholding tax. For purposes of this Scrip Dividend Arrangement, “Qualifying Shareholders” mean shareholders whose names appear on the Company’s Register of Members as at close of business on 9th October 2026, and who are entitled to receive the FY26 Final Dividend.

The Scrip Dividend Arrangement remains subject to the following:

- Declaration of the FY26 Final Dividend and approval of the related resolutions by shareholders at the 78th Annual General Meeting of the Company (“AGM”).
- Amendment of the Company’s Memorandum and Articles of Association.
- Approvals from relevant regulatory authorities (SEC, NGX and CAC).

1. Background

PZ Cussons has gone through significant recovery after a period of challenges occasioned primarily by macroeconomic instability. The business has restructured its balance sheet and optimized assets with the result being the complete settlement of legacy foreign currency denominated exposures and reversal of negative Net Asset position

₦'m	FY26	FY25	Δ%
Revenue	260,456	212,634	22%
Gross Profit	73,265	57,708	27%
Operating Profit	77,059	18,923	307%
Profit Before Tax	77,318	16,661	364%
Profit After Tax	45,170	10,067	349%
Net Asset	66,642	(17,341)	

The financial results for the year ended 31st May 2026 show a healthier business with growth across key performance metrics. The performance was supported by a strong underlying operation and the impact of balance sheet deleveraging efforts.

This notable improvement in the Company’s financial performance and position has spurred the recommendation of a final dividend of ₦2.50 (Two Naira, Fifty Kobo) per share by the Board of Directors. The proposal comes with a scrip dividend option, providing shareholders the choice of cash, additional shares, or a mix of both.

The Scrip Dividend Arrangement provides shareholders the opportunity to position for a greater share of future profits and possible capital appreciation whilst helping the business retain cash to fund strategic expansion initiatives.

Note that this represents no guarantee on future profits or share price growth.

2. Overview of the Scrip Dividend Arrangement

The Directors have recommended, subject to shareholders’ and regulatory approval at the AGM, a final dividend of ₦2.50 (Two-Naira Fifty Kobo) per ordinary share for the financial year ended 31st May 2026 (“FY26”). This represents a total gross dividend of approximately ₦9.93 billion.

The Directors have also recommended the issuance of scrip dividend in respect of FY26 to be settled in newly issued, fully paid-up ordinary shares (“Scrip Shares”). Qualifying Shareholders will therefore have the choice of electing cash, scrip shares, or a combination of both. This dividend is fully funded from the Company’s FY26 Profit After Tax of ₦45.17bn.

The Scrip Dividend Arrangement is voluntary, and shareholders who do not make an election to receive Scrip Shares will receive their dividend entitlement in cash, with both options subject to applicable Withholding Tax. Withholding tax will be deducted from the gross dividend entitlement before determining the amount available for payment in cash or conversion into Scrip Shares.

Shareholders who do not submit a valid Election Form by the Election Deadline will receive the entirety of their dividend in cash.

An election by a Qualifying Shareholder becomes effective subject to the following.

- Approval of the FY26 Final Dividend and all relevant resolutions
- Required regulatory approvals

Please note that dividend entitlements will be paid entirely in cash if the aforementioned conditions are not met.

3. Rationale for the Scrip Dividend Arrangement

The principal reasons for the Scrip Dividend Arrangement are as follows.

- **Providing Shareholders with Flexibility:** The Scrip Dividend Arrangement will provide shareholders with the option to receive their dividend entitlement either in cash, in the form of additional ordinary shares in PZ Cussons Nigeria Plc, or a combination of both. Shareholders who elect to receive Scrip Shares will have the opportunity to increase their shareholding and participate in the future growth of the Company.
- **Opportunity to increase shareholding without subscription brokerage costs:** Shareholders who elect to receive Scrip Shares may increase their shareholding without paying brokerage commission on the allotment. Normal transaction costs may, however, arise if the shares are subsequently sold.
- **Preserving Cash for Strategic Investments and Profitability:** The arrangement provides flexibility for the Company to utilise cash that would otherwise be required to settle the cash dividend entitlement of shareholders who do not elect to receive Scrip Shares. The cash retained will support working-capital requirements and other strategic expansion initiatives.
- **Supporting Long-Term Shareholder Value:** The continued retention and prudent deployment of capital in the business, while providing shareholders with the flexibility to elect for Scrip Shares, will support the Company's earnings growth and long-term value creation.
- **Alignment with long-term participation:** Shareholders who elect to receive Scrip Shares will increase their number of shares and their participation in the Company's future performance. Note that this does not represent any guarantee of future dividends, profitability or future market value of the Company's shares.

4. Computation of Scrip Shares

The number of Scrip Shares to be allotted to a Qualifying Shareholder who elects to receive Scrip Shares will be computed as follows:

$$\text{Number of Scrip Shares} = \text{Net Cash Dividend Elected for Conversion} \div \text{Reference Share Price}$$

"Net Cash Dividend" means the relevant gross dividend entitlement less applicable Withholding Tax.

Where a shareholder makes a partial election, only the portion of the Net Cash Dividend specified in the valid Election Form will be applied towards the allotment of Scrip Shares. The balance will be paid in cash.

As announced by the Company on 27th August 2026, the Reference Share Price will be the simple moving average closing price of the Company's ordinary shares on the NGX over the ten (10) trading days from 12th to 23rd October 2026; and computed by adding the closing share prices over that ten (10) day period and dividing same by 10; subject to the terms approved by shareholders and applicable regulatory requirements.

Illustrative example:

If a Qualifying Shareholder:

- Holds 10,000 ordinary shares;

- Is entitled to a gross dividend of ₦25,000 at ₦2.50 per share;
- Has a net dividend entitlement of ₦22,500 after withholding tax [10%]; and
- At a Reference Share Price is ₦90.00,

the shareholder would receive:

$₦22,500 \div ₦90.00 = 250 \text{ Scrip Shares.}$

This example is for illustration only. The actual entitlement will depend on the shareholder's registered holding, applicable withholding tax, the portion elected for conversion and the final Reference Share Price.

No fractional Scrip Shares will be issued. Where the calculation produces an entitlement to a fraction of a share, the number of Scrip Shares will be rounded down to the nearest whole share, and the monetary value of the residual entitlement will be paid to the shareholder in cash.

Where a shareholder's Net Cash Dividend elected for conversion is insufficient to acquire at least one Scrip Share at the Reference Share Price, no Scrip Share will be allotted, and the relevant net dividend entitlement will be paid entirely in cash.

5. Election to Receive Scrip Shares

A Qualifying Shareholder who wishes to receive Scrip Shares **must** complete and submit the Election Form to First Registrars and Investor Services Limited ("the **Registrar**"), 2 Abebe Village Road, Iganmu, Lagos or by email to info@firstregistrarsnigeria.com on or before the Election Deadline.

The Election Form may be:

- Delivered to the Registrar at 2 Abebe Village Road, Iganmu, Lagos;
- Submitted as a completed scanned Election Form to info@firstregistrarsnigeria.com

The Election Form will be available at the Registrar's offices, on the Registrar's website, www.firstregistrarsnigeria.com, and on the Company's website at www.pzcussons.com/investors/nigeria-investors.

The completed Election Form must be received by the Registrar on or before 23rd October 2026 ("the **Election Deadline**"). Once submitted, an election may be amended or withdrawn only by written notice to the Registrar, and any withdrawal or amendment must be received before the Election Deadline. A partial election must specify clearly the number of the shareholder's dividend entitlement to be converted into Scrip Shares. If the Election Form is unclear, incomplete, unsigned, inconsistent with the Registrar's records or otherwise invalid, the shareholder will receive the dividend in cash.

For multiple holdings, a separate election will be required for each holding. Shareholders wishing to consolidate their holdings should contact the Registrar. In the case of jointly held shares, the Election Form must be signed by all joint shareholders.

A valid election may be amended or withdrawn by written notice received by the Registrar before the Election Deadline. No election may be made, amended, or withdrawn after the Election Deadline. Any Election forms received after the Election Deadline shall be deemed void and the shareholder shall receive their dividend in cash.

A separate Election Form is required for each shareholder account or holding. Shareholders wishing to consolidate multiple holdings should contact the Registrar before the Election Deadline. An Election Form relating to shares held jointly must be signed by all joint holders.

A beneficial owner whose shares are held through a stockbroker, custodian, nominee or other intermediary should contact that intermediary promptly. The intermediary may impose an earlier election deadline and may require the election to be made through a different process.

6. Meeting to Approve the Proposed Resolution

The Company's AGM is scheduled to hold on 28th October 2026 at The Ballroom, Fraser Suites, Abuja.

The Scrip Dividend Arrangement and related resolutions will be submitted to shareholders for consideration and approval at the AGM. The related resolutions include:

- Proposed amendments to the Company's Memorandum and Articles of Association ("MEMART")
- The necessary authority for the issuance and allotment of Scrip Shares, subject to applicable laws and regulatory approvals.

The proposed resolution seeks, among other things, to approve the Scrip Dividend Arrangement, authorise the capitalisation of such amounts standing to the credit of retained earnings and authorise the Directors to issue and allot the relevant Scrip Shares to shareholders who validly elect to participate.

Voting on the proposed resolution will be conducted in accordance with the applicable provisions of the Companies and Allied Matters Act, 2020 (as amended), the Company's constitutional documents and applicable regulatory requirements.

Elections submitted before the AGM are conditional and will take effect only if the relevant resolutions are approved, and all required regulatory approvals are obtained. If the relevant approvals are not obtained, the dividend entitlement of each affected shareholder will be paid in cash.

7. Regulatory Filings and Notifications

Following shareholders' approval, the Company and its advisers will make the requisite filings and submissions to:

1. The Corporate Affairs Commission in respect of the resolutions amending the MEMART, allotment and issued share capital;
2. The Securities and Exchange Commission for registration of Scrip Shares;
3. The Nigerian Exchange Limited for the listing of the Scrip Shares;

Thereafter, the Registrar and Central Securities Clearing System Plc will credit the Scrip Shares to the accounts of participating shareholders following receipt of the relevant approvals.

8. Rights attaching to Scrip Shares

The Scrip Shares will be issued as fully paid ordinary shares and will rank *pari passu* in all respects with the Company's existing ordinary shares from the date of allotment, including the right to participate in dividends and other distributions declared after that date.

9. Default dividend option

The default option shall be cash. That is, Qualifying Shareholders will not be required to take any step if they do not wish to convert their final dividends into additional shares in the Company. Such Shareholders will automatically receive cash. They do not need to complete the Election Form.

10. Confirmation of allocation

Following allotment, participating shareholders will receive an SMS, email or other notification from the Registrar confirming:

- The Reference Share Price;
- The number of Scrip Shares allotted;
- The cash value applied towards the allotment; and
- Any residual amount payable in cash.

Crediting the Scrip Shares to a shareholder's CSCS account will be subject to the shareholder's account details and applicable know-your-customer requirements being complete and valid.

11. Actions to be Taken

- I. If you wish to receive cash:** You are not required to take any action. Your net dividend entitlement will be paid in cash.
- II. If you wish to receive Scrip Shares:** Complete and submit a valid Election Form to the Registrar by the Election Deadline.

- III. **If you wish to receive part shares and part cash:** State clearly in the Election Form the number of your dividend entitlement that you wish to convert into Scrip Shares.
- IV. **If your shares are held through a nominee, custodian or stockbroker:** Contact the intermediary promptly and comply with instructions and applicable deadline.

A member entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in their stead. A proxy need not be a member of the Company. For the appointment to be valid, a completed proxy form must be deposited at the office of the Registrar, First Registrars and Investor Services Limited, 2 Abebe Village Road, Iganmu, Lagos, not less than 24 hours before the time fixed for the meeting.

12. For Further Information, please contact:

First Registrars and Investor Services Limited: Via email to info@firstregistrarsnigeria.com Or at any of its office addresses below:

Lagos: 2 Abebe Village Road, Iganmu, Lagos State

Abuja: First Bank Building, Plot 451 Jos Street, Opp. Sharon Ultimate Hotel, Area 3, Garki, Abuja

Ibadan: First Bank Building, 48 Alhaji Abdulazeez Arisekola Alao Way, Opposite MRS Filling Station, Challenge, Ibadan, Oyo.

Port Harcourt: First Bank Building (Main Branch), 2nd Floor, 22/24 Aba Road, Port-Harcourt, Rivers State